SUPERIOR COURT, STATE OF CALIFORNIA
COUNTY OF SANTA CLARA

Department 19, Honorable Theodore C. Zayner Presiding

Maggie Castellon, Courtroom Clerk
191 North First Street, San Jose, CA95113
Telephone: 408.882.2310

To contest the ruling, call (408) 808-6856 before 4:00 P.M. or email department19@scscourt.org. Please state your case name, case number, the name of the attorney and contact number. It would also be helpful if you could identify the specific portion or portions of the tentative ruling that will be contested. Please also make sure you have notified the other side in a timely fashion that you are contesting the tentative ruling. (See R. Ct. 3.1308(a)(1); Local Rule 8.E.)

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LAW AND MOTION TENTATIVE RULINGS
DATE: 3/12/25 TIME: 1:30 P.M.
PREVAILING PARTY SHALL PREPARE THE ORDER
UNLESS OTHERWISE STATED (SEE RULE OF COURT 3.1312)

LINE #	CASE #	CASE TITLE	RULING
LINE 1	22CV397048	Newhouse v. Owens Corning Insulating Systems, LLC, et al. (Class Action)	See Line 1 for tentative ruling.
LINE 2	22CV398750	Rozo v. Tactical Operations Protective Services LLC, et al. (PAGA)	Continued to April 2, 2025.
LINE 3	23CV410621	Snow v. Lee's Sandwich Corporation, et al. (Class Action/PAGA)	See Line 3 for tentative ruling.
LINE 4	23CV415616	Sorillo v. Plenus, Inc. dba YAYOI (Class Action)	See Line 4 for tentative ruling.
LINE 5	19CV359055	Kaga FEI Co., Ltd. v. Cypress Semiconductor Corp.	See Line 5 for tentative ruling.
LINE 6			
LINE 7			
LINE 8			
LINE 9			
LINE 10			

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LAW AND MOTION TENTATIVE RULINGS

LINE 11			
LINE 12			
LINE 13			

Calendar Line 1

Case Name: Newhouse v. Owens Corning Insulating Systems, LLC, et al. (Class Action)
Case No.: 22CV397048

The above-entitled action comes on for hearing before the Honorable Theodore C. Zayner on March 12, 2025, at 1:30 p.m. in Department 19. The court now issues its tentative ruling as follows:

I. INTRODUCTION

This is a putative class and representative action arising from alleged wage and hour violations. On April 19, 2022, plaintiff Marcell Newhouse began this action by filing a class action complaint against defendants Owens Corning Insulating Systems, LLC, and Owens Corning Sales, LLC (collectively, "Defendants" or "Owens Corning"), asserting various causes of action based on Labor Code violations.

On June 11, 2024, plaintiffs Marcell Newhouse and Abigal Cristobal (collectively, "Plaintiffs") filed the operative first amended class action complaint, asserting the following causes of action: (1) unpaid overtime; (2) unpaid meal period premiums; (3) unpaid rest period premiums; (4) unpaid minimum wages; (5) final wages not timely paid; (6) wages not timely paid during employment; (7) non-compliant wage statements; (8) failure to keep requisite payroll records; (9) unreimbursed business expenses; (10) violation Business and Professions Code section 17200, *et seq.*; (11) violation of Labor Code section 2698, *et seq.* (Private Attorneys General Act ("PAGA")).

The parties have reached a settlement. Plaintiffs now move for preliminary approval of the settlement. The motion is unopposed.

II. LEGAL STANDARD FOR SETTLEMENT AGREEMENTS

A. Class Action

Generally, "questions whether a [class action] settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court's broad discretion." (*Wershba v. Apple Computer, Inc*. (2001) 91 Cal.App.4th 224, 234-235 (*Wershba*), disapproved of on other grounds by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.)

> In determining whether a class settlement is fair, adequate and reasonable, the trial court should consider relevant factors, such as the strength of plaintiffs' case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the stage of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction of the class members to the proposed settlement.

(*Wershba, supra*, 91 Cal.App.4th at pp. 244-245, internal citations and quotations omitted.)

In general, the most important factor is the strength of the plaintiffs' case on the merits, balanced against the amount offered in settlement. (See *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 130 (*Kullar*).) But the trial court is free to engage in a balancing and weighing of factors depending on the circumstances of each case. (*Wershba, supra*, 91 Cal.App.4th at p. 245.) The trial court must examine the "proposed settlement agreement to the extent necessary to reach a reasoned judgment that the agreement is not the product of fraud or overreaching by, or collusion between, the negotiating parties, and that the settlement, taken as a whole, is fair, reasonable and adequate to all concerned." (*Ibid.*, citation and internal quotation marks omitted.)

The burden is on the proponent of the settlement to show that it is fair and reasonable. However, "a presumption of fairness exists where: (1) the settlement is reached through arm's-length bargaining; (2) investigation and discovery are sufficient to allow counsel and the court to act intelligently; (3) counsel is experienced in similar litigation; and (4) the percentage of objectors is small." (*Wershba, supra*, 91 Cal.App.4th at p. 245, citation omitted.)

B. PAGA

Labor Code section 2699, subdivision (l)(2) provides that "[t]he superior court shall review and approve any settlement of any civil action filed pursuant to" PAGA. The court's review "ensur[es] that any negotiated resolution is fair to those affected." (*Williams v. Superior Court* (2017) 3 Cal.5th 531, 549.) Seventy-five percent of any penalties recovered under PAGA go to the Labor and Workforce Development Agency (LWDA), leaving the remaining twenty-five percent for the aggrieved employees. (*Iskanian v. CLS Transportation Los Angeles, LLC* (2014) 59 Cal.4th 348, 380, overruled on other grounds by *Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S.___, 2022 U.S. LEXIS 2940.)

Like its review of class action settlements, the Court must "determine independently whether a PAGA settlement is fair and reasonable," to protect "the interests of the public and the LWDA in the enforcement of state labor laws." (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76-77.) It must make this assessment "in view of PAGA's purposes to remediate present labor law violations, deter future ones, and to maximize enforcement of state labor laws." (*Id.* at p. 77; see also *Haralson v. U.S. Aviation Servs. Corp*. (N.D. Cal. 2019) 383 F. Supp. 3d 959, 971 ["when a PAGA claim is settled, the relief provided for under the PAGA [should] be genuine and meaningful, consistent with the underlying purpose of the statute to benefit the public …."], quoting LWDA guidance discussed in *O'Connor v. Uber Technologies, Inc.* (N.D. Cal. 2016) 201 F.Supp.3d 1110 (*O'Connor*).)

The settlement must be reasonable considering the potential verdict value. (See *O'Connor, supra,* 201 F.Supp.3d at p. 1135 [rejecting settlement of less than one percent of the potential verdict].) But a permissible settlement may be substantially discounted, given that courts often exercise their discretion to award PAGA penalties below the statutory maximum even where a claim succeeds at trial. (See *Viceral v. Mistras Group, Inc.* (N.D. Cal., Oct. 11, 2016, No. 15-cv-02198-EMC) 2016 WL 5907869, 2016 U.S. Dist. LEXIS 140759, at *20-24.)

III. DISCUSSION

A. Provisions of the Settlement

Plaintiff moves for approval of a settlement made on behalf of:

> All hourly-paid or non-exempt employees of Owens Corning who were employed at Owens Corning's Santa Clara, California facility during the Class Period [April 19, 2018, through the date of preliminary approval]. ("Settlement Class" or "Settlement Class Members")

(Declaration of Helene Mayer ("Mayer Decl."), Ex. 1 ("Agreement"), II.6, 11.36.) The settlement also includes a subset PAGA class of Aggrieved Employees, defined as: "all hourly-paid or non-exempt employees of Owens Corning who were employed at Owen's Santa Clara, California facility during the PAGA Period [August 7, 2022, through the date of preliminary approval].” (*Id.* at 11.20, II.22.)

Defendant will pay a gross settlement amount of $1,400,000. (Agreement, § II.13.) This amount is subject to an escalator clause triggered should the actual number of workweeks exceed the currently estimated number by more than seven and one-half percent. (*Id.* at § II.62.) The gross settlement amount includes attorney fees of up to one-third of the gross settlement amount (currently estimated to be $490,000), litigation costs not to exceed $60,000, a PAGA allocation of $100,000 (75 percent of which will be paid to the LWDA and 25 percent of which will be paid to PAGA Employees as individual PAGA payments), service payments totaling up to $15,000, and settlement administration costs estimated to be $20,000. (*Id.* at §§ II.2. II.7, II.21, II.34.)

The net settlement amount will be distributed to participating class members on a pro rata basis according to the number of workweeks they were employed by Defendant. (Agreement, §§ II.14, II.23, III.46.) Individual PAGA payments will be distributed on a pro rata basis depending on the number of workweeks worked. (*Id.* at § III.47.) The Agreement provides that Phoenix Class Action Administration Solutions (“Phoenix”) will serve as the settlement administrator. (*Id.* at § III.35.) The court approves Phoenix as the settlement administrator. The Agreement further provides that any funds from settlement checks remaining uncashed after the void date (180 days after mailing) will be transmitted to Swords to Plowshares as the *cy pres* beneficiary. (*Id.* at § III.65.) The court approves the *cy pres* designation.

In exchange for the settlement, the class members agree to release Defendant, and related entities and persons, from all claims based on the facts and legal theories asserted in the operative complaint, which arose during the Class Period. (Agreement, §§ II.28, II.30, II.31.) PAGA members will be deemed to release all claims for PAGA civil penalties based on the facts and legal theories asserted in the operative complaint. (*Id.* at §§ II.29-II.31.) The release provisions are based on and tailored to the factual allegations of the operative pleading. (See *Amaro v. Anaheim Arena Management, LLC* (2021) 69 Cal.App.5th 521, 538.)

B. Fairness of the Settlement

Plaintiffs contend the court should approve the settlement because it is fair, reasonable, and adequate and because it resulted from arm's-length negotiations based upon investigation and discovery. (Motion, pp. 10:15-14:9.) Plaintiffs' counsel states that the parties participated in two formal mediations with Hon. Daniel J. Buckley. (Mayer Decl., ¶ 12.) Prior to mediation, the parties exchanged extensive class information and engaged in discussions regarding their evaluations of the cases. (*Ibid.*) Counsel conducted significant investigation and informal discovery regarding the facts of the case, including the analysis of Class Members' time and pay data as well as Defendants' employee handbook and policies. (*Id.* at ¶ 13.)

Nevertheless, the material provided by Plaintiffs' counsel do not include an analysis of the value of the claims or the discounts that were applied in arriving at the gross settlement amount. The court agrees with Plaintiffs' assertion[1] that "a presumption of fairness exists where: (1) the settlement is reached through arm's-length bargaining; (2) investigation and discovery to allow counsel and the court to act intelligently; (3) counsel is experienced in similar litigation; and (4) the percentage of objectors is small." (*Wershba*, *supra*, 91 Cal.App.4th at p. 245, citation omitted; see also *Dunk v. Ford Motor Co.* (1996) 48 Cal.App.4th 1794, 1801.)

Even so, a court may not "determine the adequacy of a class action settlement without independently satisfying itself that the consideration being received for the release of the class members' is reasonable in light of the strengths and weaknesses of the claims and the risks of the particular litigation." (*Kullar*, *supra*, 168 Cal.App.4th at p. 129.) In the final analysis, "the court has a fiduciary responsibility as guardians of the rights of absentee class members when deciding whether to approve a settlement agreement," and "it is the court that bears the responsibility to ensure that the recovery represents a reasonable compromise, given the magnitude and apparent merit of the claims being released, discounted by the risks and expenses of attempting to establish and collect on those claims by pursuing the litigation." (*Ibid.*) While the court may place reliance on the competence and integrity of counsel, "the court must also receive and consider enough information about the nature and magnitude of the

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[1] See Motion, p. 10:8-14.

claims being settled, as well as the impediments to recovery, to make an independent assessment of the reasonableness of the terms to which the parties have agreed." (*Id.* at p. 133.)

Accordingly, the motion shall be CONTINUED, and prior to the continued hearing, Plaintiffs' counsel shall file a supplemental declaration providing further information and explanation regarding the Defendants' estimated total maximum exposure as well as the rationale supporting the discounts applied.

C. Service Award, Fees and Costs

Plaintiffs request service awards of $10,000 to Plaintiff Newhouse and $5,000 to Plaintiff Cristobal, for a total of $15,000. (Motion, pp. 24:10-25:11.)

> The rationale for making enhancement or incentive awards to named plaintiffs is that they should be compensated for the expense or risk they have incurred in conferring a benefit on other members of the class. An incentive award is appropriate if it is necessary to induce an individual to participate in the suit. Criteria courts may consider in determining whether to make an incentive award include: 1) the risk to the class representative in commencing suit, both financial and otherwise; 2) the notoriety and personal difficulties encountered by the class representative; 3) the amount of time and effort spent by the class representative; 4) the duration of the litigation and; 5) the personal benefit (or lack thereof) enjoyed by the class representative as a result of the litigation. These "incentive awards" to class representatives must not be disproportionate to the amount of time and energy expended in pursuit of the lawsuit.

(*Cellphone Termination Fee Cases* (2010) 186 Cal.App.4th 1380, 1394-1395, internal punctuation and citations omitted.) Incentive awards are particularly appropriate where a plaintiff undertakes a significant reputational risk in bringing an action against an employer. (*Covillo v. Specialty's Café* (N.D. Cal. 2014) 2014 U.S.Dist.LEXIS 29837, at *29.)

Plaintiff Newhouse has submitted a declaration describing his participation in this action, which has included communication with counsel, gathering documents, and reviewing case documents. (Declaration of Marcell Newhouse, ¶¶ 2-5.) Plaintiff Newhouse estimates that he has spent approximately 17 hours working on this case. (*Ibid.*) Plaintiff Cristobal has submitted a declaration describing her participation in this action, which has included communication with counsel, gathering documents, and reviewing case documents. (Declaration of Abigail Cristobal, ¶¶ 2-5.) Plaintiff Cristobal estimates that she has spent approximately 16 hours working on this case. (*Ibid.*)

While the court agrees that service awards are justified in this case, the amounts requested are more than the court normally awards in similar situations. It also appears that the Plaintiffs have each spent a similar amount of time working on this action, suggesting that their respective service awards should be similar. Accordingly, the court approves services awards of $5,000 each to the two named Plaintiffs, for a total of $10,000 in service awards.

The court also has an independent right and responsibility to review the requested attorney fees and only award so much as it determines reasonable. (See *Garabedian v. Los Angeles Cellular Telephone Co.* (2004) 118 Cal.App.4th 123, 127-128.) Plaintiffs' counsel will seek attorney fees of up to one-third of the gross settlement amount (currently estimated to be $490,000). Prior to the final approval hearing, Plaintiffs' counsel shall submit lodestar information (including hourly rate and hours worked) as well as evidence of actual litigation costs incurred and settlement administration expenses.

D. Conditional Certification of Class

Plaintiff requests that the class be conditionally certified for purposes of the settlement. Rule 3.769(d) of the California Rules of Court states that "[t]he court may make an order approving or denying certification of a provisional settlement class after [a] preliminary settlement hearing." California Code of Civil Procedure Section 382 authorizes certification of a class "when the question is one of a common or general interest, of many persons, or when the parties are numerous, and it is impracticable to bring them all before the court . . .." As interpreted by the California Supreme Court, section 382 requires: (1) an ascertainable class; and (2) a well-defined community of interest among the class members. (*Sav-On Drug Stores, Inc. v. Superior Court* (2004) 34 Cal.4th 319, 326 (*Sav-On*).)

The "community-of-interest" requirement encompasses three factors: (1) predominant questions of law or fact; (2) class representatives with claims or defenses typical of the class; and, (3) class representatives who can adequately represent the class. (*Sav-On, supra*, 34 Cal.4th at p. 326.) "Other relevant considerations include the probability that each class member will come forward ultimately to prove his or her separate claim to a portion of the total recovery and whether the class approach would actually serve to deter and redress alleged wrongdoing." (*Linder v. Thrifty Oil Co*. (2000) 23 Cal.4th 429, 435.) The plaintiff has the burden of establishing that class treatment will yield "substantial benefits" to both "the litigants and to the court." (*Blue Chip Stamps v. Superior Court* (1976) 18 Cal.3d 381, 385.) As explained by the California Supreme Court,

> The certification question is essentially a procedural one that does not ask whether an action is legally or factually meritorious. A trial court ruling on a certification motion determines whether the issues which may be jointly tried, when compared with those requiring separate adjudication, are so numerous or substantial that the maintenance of a class action would be advantageous to the judicial process and to the litigants.

(*Sav-On, supra*, 34 Cal.4th at p. 326, internal punctuation and citations omitted.)

Plaintiff states there are approximately 514 class members, who can be identified from a review of Defendant's records. (Motion, p. 15:11; Mayer Decl., ¶ 9.) There are common questions regarding whether class members were subjected to common practices that violated wage and hour laws. No issue has been raised regarding the typicality or adequacy of Plaintiff as class representative. Therefore, the court finds that the proposed class should be conditionally certified for settlement purposes.

E. Class Notice

The content of a class notice is subject to court approval. "If the court has certified the action as a class action, notice of the final approval hearing must be given to the class members in the manner specified by the court." (Cal. Rules of Court, rule 3.769(f).) "The notice must contain an explanation of the proposed settlement and procedures for class members to follow in filing written objections to it and in arranging to appear at the settlement hearing and state any objections to the proposed settlement." (*Ibid.*) In determining the manner of the notice, the court must consider: "(1) The interests of the class; (2) The type of relief requested; (3) The stake of the individual class members; (4) The cost of notifying class members; (5) The resources of the parties; (6) The possible prejudice to class members who do not receive notice; and (7) The res judicata effect on class members." (Cal. Rules of Court, rule 3.766(e).)

Here, the form of the notice is generally adequate. (Agreement, Ex. A.) It describes the lawsuit, explains the settlement, and instructs class members that they may opt out of the settlement or object. The settlement amounts, including attorney fees and payment to the named plaintiff, are stated. The notice informs class members that they may appear at the final fairness hearing.

However, section IV.D of the notice implies that Class Members must have filed a written objection before they may state an objection orally at the final approval hearing. This portion of the notice must be modified to clarify that a Class Member may object simply by appearing at the final approval hearing.

In addition, the court requests that the following language regarding the final approval hearing be added to the notice:

> Class members may appear at the final approval hearing in person or remotely using the Microsoft Teams link for Department 19 (Afternoon Session), and should review the remote appearance instructions beforehand:
>
> https://www.scscourt.org/general_info/ra_teams/video_hearings_teams.shtml
>
> Class members who wish to appear remotely are encouraged to contact class counsel at least three days before the hearing, if possible, so that potential technology or audibility issues can be avoided or minimized.

On the condition that the parties make the above changes to the notice prior to its mailing, the notice is approved.

IV. CONCLUSION

The motion for preliminary approval of the settlement is CONTINUED to **April 2, 2025,** at 1:30 p.m. in Department 19. Plaintiffs' counsel shall file a supplemental declaration providing further information and explanation regarding the Defendants' estimated total maximum exposure as well as the rationale supporting the discounts applied.

Plaintiff shall prepare the order in accordance with California Rules of Court, rule 3.1312.

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Calendar Line 2

Case Name:
Case No.:

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Calendar Line 3

Case Name: Snow v. Lee's Sandwich Corporation, et al. (Class Action/PAGA)
Case No.: 23CV410621

The above-entitled action comes on for hearing before the Honorable Theodore C. Zayner on March 12, 2025, at 1:30 p.m. in Department 19. The court now issues its tentative ruling as follows:

I. INTRODUCTION

This is a putative class and representative action arising from alleged wage and hour violations. On January 31, 2023, plaintiff Waladin Snow ("Plaintiff") began this action filing a class action complaint against defendant Lee's Sandwich Corporation and Lee's Sandwiches International, Inc.

On April 10, 2023, Plaintiff filed the operative first amended class action complaint against defendants Lee's Sandwiches International, Inc., CBET Corporation ("Defendant"), and Lee's Sandwiches, asserting the following causes of action: (1) unfair business competition; (2) failure to pay minimum wages; (3) failure to pay overtime wages; (4) failure to provide required meal periods; (5) failure to provide required rest periods; (6) failure to provide wages when due; (7) failure to provide accurate itemized statements; (8) failure to reimburse employees for required expenses; and (9) violation of the Private Attorneys General Act ("PAGA").

On July 20, 2023, the court issued an order granting Plaintiff's request to dismiss defendants Lee's Sandwiches International, Inc. and Lee's Sandwiches without prejudice.

The parties have reached a settlement. Plaintiff now moves for preliminary approval of the settlement. The motion is unopposed.

II. LEGAL STANDARD FOR SETTLEMENT AGREEMENTS

A. Class Action

Generally, "questions whether a [class action] settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court's broad discretion." (*Wershba v. Apple Computer, Inc*. (2001) 91 Cal.App.4th 224, 234-235 (*Wershba*), disapproved of on other grounds by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.)

> In determining whether a class settlement is fair, adequate and reasonable, the trial court should consider relevant factors, such as the strength of plaintiffs' case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the stage of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction of the class members to the proposed settlement.

(*Wershba, supra*, 91 Cal.App.4th at pp. 244-245, internal citations and quotations omitted.)

In general, the most important factor is the strength of the plaintiffs' case on the merits, balanced against the amount offered in settlement. (See *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 130 (*Kullar*).) But the trial court is free to engage in a balancing and weighing of factors depending on the circumstances of each case. (*Wershba, supra*, 91 Cal.App.4th at p. 245.) The trial court must examine the "proposed settlement agreement to the extent necessary to reach a reasoned judgment that the agreement is not the product of fraud or overreaching by, or collusion between, the negotiating parties, and that the settlement, taken as a whole, is fair, reasonable and adequate to all concerned." (*Ibid.*, citation and internal quotation marks omitted.)

The burden is on the proponent of the settlement to show that it is fair and reasonable. However, "a presumption of fairness exists where: (1) the settlement is reached through arm's-length bargaining; (2) investigation and discovery are sufficient to allow counsel and the court to act intelligently; (3) counsel is experienced in similar litigation; and (4) the percentage of objectors is small." (*Wershba, supra*, 91 Cal.App.4th at p. 245, citation omitted.)

B. PAGA

Labor Code section 2699, subdivision (l)(2) provides that "[t]he superior court shall review and approve any settlement of any civil action filed pursuant to" PAGA. The court's review "ensur[es] that any negotiated resolution is fair to those affected." (*Williams v. Superior Court* (2017) 3 Cal.5th 531, 549.) Seventy-five percent of any penalties recovered under PAGA go to the Labor and Workforce Development Agency (LWDA), leaving the remaining twenty-five percent for the aggrieved employees. (*Iskanian v. CLS Transportation Los Angeles, LLC* (2014) 59 Cal.4th 348, 380, overruled on other grounds by *Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S.___, 2022 U.S. LEXIS 2940.)

Like its review of class action settlements, the Court must "determine independently whether a PAGA settlement is fair and reasonable," to protect "the interests of the public and the LWDA in the enforcement of state labor laws." (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76-77.) It must make this assessment "in view of PAGA's purposes to remediate present labor law violations, deter future ones, and to maximize enforcement of state labor laws." (*Id.* at p. 77; see also *Haralson v. U.S. Aviation Servs. Corp*. (N.D. Cal. 2019) 383 F. Supp. 3d 959, 971 ["when a PAGA claim is settled, the relief provided for under the PAGA [should] be genuine and meaningful, consistent with the underlying purpose of the statute to benefit the public …."], quoting LWDA guidance discussed in *O'Connor v. Uber Technologies, Inc.* (N.D. Cal. 2016) 201 F.Supp.3d 1110 (*O'Connor*).)

The settlement must be reasonable considering the potential verdict value. (See *O'Connor, supra,* 201 F.Supp.3d at p. 1135 [rejecting settlement of less than one percent of the potential verdict].) But a permissible settlement may be substantially discounted, given that courts often exercise their discretion to award PAGA penalties below the statutory maximum even where a claim succeeds at trial. (See *Viceral v. Mistras Group, Inc.* (N.D. Cal., Oct. 11, 2016, No. 15-cv-02198-EMC) 2016 WL 5907869, 2016 U.S. Dist. LEXIS 140759, at *20-24.)

III. DISCUSSION

A. Provisions of the Settlement

Plaintiff seeks approval of a proposed settlement made on behalf of:

> All non-exempt employees who are or previously were employed by Defendant and performed work in California during the period of January 31, 2019 through October 20, 2023 (the "Class Period").

(Declaration of Jean-Claude Lapuyade ("Lapuyade Decl."), Ex. A ("Agreement"), §§ I(G), I(J).) The settlement also includes a subset PAGA class of Aggrieved Employees, defined as "all non-exempt employees who are previously were employed by Defendant and performed work in California during the period of January 31, 2022 to October 20, 2023 (the "PAGA Period"). (*Id.* at §§ I(C), I(Y).)

Defendant will pay a gross settlement amount of $82,000. (Agreement, § I(Q).) This amount includes attorney fees of up to one-third of the gross settlement amount (i.e., $27,333.33), litigation costs not to exceed $15,000, a PAGA allocation of $5,000 (75 percent of which will be paid to the LWDA and 25 percent of which will be paid to PAGA Employees as individual PAGA payments), a service payment of up to $10,000, and settlement administration estimated to be $7,600. (*Id.* at §§ I(B), I(E), I(F), I(O), I(Z), III(L)(9)-(12).) The net settlement amounts and individual PAGA payments will be distributed on a pro rata basis according to the number of workweeks they were employed by Defendant. (*Id.* at §§ I(S), III(L)(1)-(10).) The Agreement provides that APEX Class Action LLC ("APEX") will serve as the settlement administrator. (Agreement, § I(HH).) The court approves APEX as the settlement administrator.

The Agreement further provides that any funds from settlement checks remaining uncashed after the void date (180 days after mailing) will be remitted to California State Controller for deposit in the Unclaimed Property Fund in the name of the individual whose check was uncashed. (Agreement, § III(L)(8).) The parties' proposal to send funds from uncashed checks issued to class member to the State of California Unclaimed Property Fund does not comply with Code of Civil Procedure section 384, which mandates that unclaimed or abandoned class members' funds be given to "nonprofit organizations or foundations to support projects that will benefit the class or similarly situated persons, or that promote the law consistent with the objectives and purposes of the underlying cause of action, to child advocacy programs, or to nonprofit organizations providing civil legal services to the indigent."

The court is disinclined to grant preliminary approval of a settlement that does not comply with Code of Civil Procedure section 384. Accordingly, the motion shall be CONTINUED, and prior to the continued hearing, the partes shall meet and confer to determine whether they can amend the Agreement to address the court's concerns regarding the designation of a *cy pres* recipient at this time.

In exchange for the settlement, the class members agree to release Defendant, and related entities and persons, from the following:

> [A]ll class claims alleged in the Operative Complaint which occurred during the Class Period, and expressly excluding all other claims, including claims for vested benefits, wrongful termination, unemployment insurance, disability, social security, workers' compensation, and class claims outside of the Class Period.

(Agreement, §§ I(EE), I(GG), III(B).) Similarly, Aggrieved Employees agree to release Defendant, and related entities and persons, from the following:

> all PAGA claims alleged in the operative Complaint and Plaintiffs PAGA notices to the L WDA which occurred during the PAGA Period, and expressly excluding all other claims, including claims for vested benefits, wrongful termination, unemployment insurance, disability, social security, workers' compensation, and PAGA claims outside of the PAGA Period.

(*Id.* at §§ I(FF), I(GG), III(C).)

The forgoing release provisions are overbroad because they are tailored to the *claims* – rather than to the *factual allegations* – of the operative pleading and PAGA notices. (See *Amaro v. Anaheim Arena Management, LLC* (2021) 69 Cal.App.5th 521, 538.)

> A class action settlement must be approved by the court to protect class members … whose rights may not have been given due regard by the negotiating parties. [Citation.] Consequently, courts must remain vigilant and ensure that class releases do not extend to claims that are beyond the scope of the allegations in the complaint. Releases must be appropriately tethered to the complaint's factual allegations. For example, the portion of the release covering "potential claims reasonably arising out of … the same set of operative facts" pleaded in the complaint is sufficiently tailored. … [¶] To be clear, we do not mean to suggest the above examples provide the only acceptable phrasing of class releases. Rather, these examples are only meant to provide some guidance to the trial courts that review class action settlements. There are certainly other formulations that properly limit the scope of the class release to the allegations in the complaint. We only mean to encourage courts to scrutinize class releases to ensure they are reasonably tethered to the complaint's allegations. [¶] … [T]he release must be tied to the *factual allegations* in the complaint, not the claims or theories of liability asserted. [Citations.] Class members could potentially have claims that arise from the same legal theories as Amaro's complaint but are not based on the same allegations.

(*Ibid.*, emphasis original.) Here, in defining the Released Class Claims and the Released PAGA Claims, sections I(EE) and I(FF) of the Agreement reference only the claims alleged and not the facts alleged in the operative complaint and PAGA notices.

Accordingly, prior to the continued hearing, the parties shall meet and confer to see whether the release provision can be amended in response to the court's concerns as discussed above.

B. Fairness of the Settlement

Plaintiff contends that the proposed settlement meets the standards for preliminary approval. (Motion, pp. 8:26-18:8.) Plaintiff's counsel asserts that the settlement amount is fair and reasonable considering the nature and magnitude of the claims the continued risks of continued litigation. (Lapuyade Decl., ¶ 25.) Prior to mediation, Defendant agreed to informally produce additional documents and data points, including Class Members' time data and certain payroll records. (*Id.* at ¶¶ 15, 18-22.) Plaintiff's counsel retained a consulting group to analyze the data. (*Ibid.*) On October 20, 2023, the parties participated in a full day mediation presided over by the Honorable Brian C. Walsh (Ret.). (*Id.* at ¶¶ 16, 24.)

Plaintiff's counsel only agreed to enter the settlement following a thorough investigation and evaluation of Plaintiff's claims. (Lapuyade Decl., ¶ 23.) Plaintiff's counsel estimated that Defendant's potential liability exposure for class claims was $159,051.40, excluding penalties. (*Id.* at ¶ 25.) Based on the claims analysis presented by Plaintiff's counsel, Defendant's total maximum potential exposure for all claims and penalties is $751,332. (*Id.* at ¶¶ 26-34.)

The gross settlement amount of $82,000 represents 10.9 percent of the Defendant's total maximum exposure for all claims and penalties. Therefore, the proposed settlement amount is within the general range of percentage recoveries that California courts have found to be reasonable. (See *Cavazos v. Salas Concrete, Inc.* (E.D. Cal., Feb 18, 2022, No. 1:19-cv-00062-DAD-EPG) 2022 U.S.Dist. LEXIS 30201, at *41-42 [citing cases approving settlements in the range of 5 to 35 percent of the maximum potential exposure].) Furthermore, Plaintiff's counsel presents evidence it conducted relevant discovery and a thorough analysis of Plaintiff's claims and arrived at the settlement amount following negotiations with an experienced mediator.

The court has reviewed Plaintiff's written submissions in support of the proposed settlement. Based on the circumstances of the case, including the strength of Plaintiffs' case and potential defenses, the court finds the terms of the settlement to be fair. The settlement provides for some recovery for each class member and eliminates the risk and expense of further litigation.

C. Service Award, Fees and Costs

Plaintiff requests a service award of $10,000. (Motion, p. 19:7- 28.)

> The rationale for making enhancement or incentive awards to named plaintiffs is that they should be compensated for the expense or risk they have incurred in conferring a benefit on other members of the class. An incentive award is appropriate if it is necessary to induce an individual to participate in the suit. Criteria courts may consider in determining whether to make an incentive award include: 1) the risk to the class representative in commencing suit, both financial and otherwise; 2) the notoriety and personal difficulties encountered by the class representative; 3) the amount of time and effort spent by the class representative; 4) the duration of the litigation and; 5) the personal benefit (or lack thereof) enjoyed by the class representative as a result of the litigation. These "incentive awards" to class representatives must not be disproportionate to the amount of time and energy expended in pursuit of the lawsuit.

(*Cellphone Termination Fee Cases* (2010) 186 Cal.App.4th 1380, 1394-1395, internal punctuation and citations omitted.) Incentive awards are particularly appropriate where a plaintiff undertakes a significant reputational risk in bringing an action against an employer. (*Covillo v. Specialty's Café* (N.D. Cal. 2014) 2014 U.S.Dist.LEXIS 29837, at *29.)

Plaintiff Snow has submitted a declaration describing his participation in this action. (Declaration of Waladin Snow, ¶¶ 8-20.) His participation has included remaining in regular contact with his attorneys and reviewing important court filings, and he estimates that he has spent approximately 20 to 30 hours working on this case. (*Id.* at ¶ 14.)

While the court finds that a service is justified, the amount requested is more that the court normally awards in similar circumstances. Therefore, the court approves a service award to Plaintiff in the amount of $7,500.

The court also has an independent right and responsibility to review the requested attorney fees and only award so much as it determines reasonable. (See *Garabedian v. Los Angeles Cellular Telephone Co.* (2004) 118 Cal.App.4th 123, 127-128.) Plaintiff's counsel will seek attorney fees of up to one-third of the gross settlement amount (i.e., $27,333.33). Prior to the final approval hearing, Plaintiff's counsel shall submit lodestar information (including hourly rate and hours worked) as well as evidence of actual litigation costs incurred and settlement administration costs.

D. Conditional Certification of Class

Plaintiff requests that the class be conditionally certified for purposes of the settlement. Rule 3.769(d) of the California Rules of Court states that "[t]he court may make an order approving or denying certification of a provisional settlement class after [a] preliminary settlement hearing." California Code of Civil Procedure Section 382 authorizes certification of a class "when the question is one of a common or general interest, of many persons, or when the parties are numerous, and it is impracticable to bring them all before the court . . .." As interpreted by the California Supreme Court, section 382 requires: (1) an ascertainable class; and (2) a well-defined community of interest among the class members. (*Sav-On Drug Stores, Inc. v. Superior Court* (2004) 34 Cal.4th 319, 326 (*Sav-On*).)

The "community-of-interest" requirement encompasses three factors: (1) predominant questions of law or fact; (2) class representatives with claims or defenses typical of the class; and, (3) class representatives who can adequately represent the class. (*Sav-On, supra*, 34 Cal.4th at p. 326.) "Other relevant considerations include the probability that each class member will come forward ultimately to prove his or her separate claim to a portion of the total recovery and whether the class approach would actually serve to deter and redress alleged wrongdoing." (*Linder v. Thrifty Oil Co*. (2000) 23 Cal.4th 429, 435.) The plaintiff has the burden of establishing that class treatment will yield "substantial benefits" to both "the litigants and to the court." (*Blue Chip Stamps v. Superior Court* (1976) 18 Cal.3d 381, 385.) As explained by the California Supreme Court,

> The certification question is essentially a procedural one that does not ask whether an action is legally or factually meritorious. A trial court ruling on a

> certification motion determines whether the issues which may be jointly tried, when compared with those requiring separate adjudication, are so numerous or substantial that the maintenance of a class action would be advantageous to the judicial process and to the litigants.
>
> (*Sav-On, supra,* 34 Cal.4th at p. 326, internal punctuation and citations omitted.)

Plaintiff states there are approximately 191 class members, who can be identified from a review of Defendant's records. There are common questions regarding whether class members were subjected to common practices that violated wage and hour laws. No issue has been raised regarding the typicality or adequacy of Plaintiff as class representative. Therefore, the court finds that the proposed class should be conditionally certified for settlement purposes.

E. Class Notice

The content of a class notice is subject to court approval. "If the court has certified the action as a class action, notice of the final approval hearing must be given to the class members in the manner specified by the court." (Cal. Rules of Court, rule 3.769(f).) "The notice must contain an explanation of the proposed settlement and procedures for class members to follow in filing written objections to it and in arranging to appear at the settlement hearing and state any objections to the proposed settlement." (*Ibid.*) In determining the manner of the notice, the court must consider: "(1) The interests of the class; (2) The type of relief requested; (3) The stake of the individual class members; (4) The cost of notifying class members; (5) The resources of the parties; (6) The possible prejudice to class members who do not receive notice; and (7) The res judicata effect on class members." (Cal. Rules of Court, rule 3.766(e).)

Here, the form of notice is generally adequate. It describes the lawsuit, explains the settlement, and instructs class members that they may opt out of the settlement or object. (Agreement, Ex. A.) The settlement amounts, including attorney fees and payment to the named plaintiff, are stated. The notice informs class members that they may appear at the final fairness hearing to make an oral objection without filing a written objection.

However, the notice must be modified to instruct Class Members that they may object to the settlement simply by providing their name without the need to provide their phone number or other personal information. Also, as discussed above, the court has instructed the parties to meet and confer regarding the designation of a *cy pres* recipient and the scope of the release provisions, and the notice must be amended to reflect any changes made in these respects.

Finally, the court requests that the following language regarding the final approval hearing be added to the notice:

> Class members may appear at the final approval hearing in person or remotely using the Microsoft Teams link for Department 19 (Afternoon Session), and should review the remote appearance instructions beforehand:
>
> https://www.scscourt.org/general_info/ra_teams/video_hearings_teams.shtml
>
> Class members who wish to appear remotely are encouraged to contact class counsel at least three days before the hearing, if possible, so that potential technology or audibility issues can be avoided or minimized.

On the condition that the parties make the above changes to the notice prior to its mailing, the notice is approved.

IV. CONCLUSION

The motion for preliminary approval of the settlement is CONTINUED to **April 2, 2025,** at 1:30 p.m. in Department 19. Prior to the continued hearing, the parties shall meet and confer regarding the designation of a *cy pres* beneficiary and the scope the releases, and Plaintiff's counsel shall file a supplemental declaration informing the court whether the parties were able to address the concerns with respect to these issues.

The prevailing party shall prepare the order in accordance with California Rules of Court, rule 3.1312.

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Calendar Line 4

Case Name: Sorillo v. Plenus, Inc. dba YAYOI (Class Action)
Case No.: 23CV415616

The above-entitled action comes on for hearing before the Honorable Theodore C. Zayner on March 12, 2025, at 1:30 p.m. in Department 19. The court now issues its tentative ruling as follows:

I. INTRODUCTION

This is a putative class and representative action arising from alleged wage and hour violations. On April 28, 2023, plaintiff Russel Nera Sorillo ("Plaintiff") began this action by filing a class action complaint against defendant Plenus, Inc. dba Yayoi ("Defendant"). On October 30, 2024, Plaintiff filed the operative first amended class and representative action complaint against Defendant, asserting the following causes of action: (1) failure to pay minimum and straight time wages; (2) failure to pay overtime wages; (3) failure to provide meal periods; (4) failure to authorize and permit rest periods; (5) failure to timely pay final wages at termination; (6) failure to provide accurate itemized wage statements; (7) failure to indemnify employees for expenditures; (8) unfair business practices; (9) civil penalties under the Private Attorneys General Act ("PAGA").

The parties have reached a settlement. Plaintiff now moves for preliminary approval of the settlement. The motion is unopposed.

II. LEGAL STANDARD FOR SETTLEMENT AGREEMENTS

A. Class Action

Generally, "questions whether a [class action] settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court's broad discretion." (*Wershba v. Apple Computer, Inc*. (2001) 91 Cal.App.4th 224, 234-235 (*Wershba*), disapproved of on other grounds by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.)

> In determining whether a class settlement is fair, adequate and reasonable, the trial court should consider relevant factors, such as the strength of plaintiffs' case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the stage of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction of the class members to the proposed settlement.

(*Wershba, supra*, 91 Cal.App.4th at pp. 244-245, internal citations and quotations omitted.)

In general, the most important factor is the strength of the plaintiffs' case on the merits, balanced against the amount offered in settlement. (See *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 130 (*Kullar*).) But the trial court is free to engage in a balancing and weighing of factors depending on the circumstances of each case. (*Wershba, supra*, 91 Cal.App.4th at p. 245.) The trial court must examine the "proposed settlement agreement to the extent necessary to reach a reasoned judgment that the agreement is not the product of fraud or overreaching by, or collusion between, the negotiating parties, and that the settlement, taken as a whole, is fair, reasonable and adequate to all concerned." (*Ibid.*, citation and internal quotation marks omitted.)

The burden is on the proponent of the settlement to show that it is fair and reasonable. However, "a presumption of fairness exists where: (1) the settlement is reached through arm's-length bargaining; (2) investigation and discovery are sufficient to allow counsel and the court to act intelligently; (3) counsel is experienced in similar litigation; and (4) the percentage of objectors is small." (*Wershba, supra*, 91 Cal.App.4th at p. 245, citation omitted.)

B. PAGA

Labor Code section 2699, subdivision (l)(2) provides that "[t]he superior court shall review and approve any settlement of any civil action filed pursuant to" PAGA. The court's review "ensur[es] that any negotiated resolution is fair to those affected." (*Williams v. Superior Court* (2017) 3 Cal.5th 531, 549.) Seventy-five percent of any penalties recovered under PAGA go to the Labor and Workforce Development Agency (LWDA), leaving the remaining twenty-five percent for the aggrieved employees. (*Iskanian v. CLS Transportation Los Angeles, LLC*

(2014) 59 Cal.4th 348, 380, overruled on other grounds by *Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S.___, 2022 U.S. LEXIS 2940.)

Like its review of class action settlements, the Court must "determine independently whether a PAGA settlement is fair and reasonable," to protect "the interests of the public and the LWDA in the enforcement of state labor laws." (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76-77.) It must make this assessment "in view of PAGA's purposes to remediate present labor law violations, deter future ones, and to maximize enforcement of state labor laws." (*Id.* at p. 77; see also *Haralson v. U.S. Aviation Servs. Corp*. (N.D. Cal. 2019) 383 F. Supp. 3d 959, 971 ["when a PAGA claim is settled, the relief provided for under the PAGA [should] be genuine and meaningful, consistent with the underlying purpose of the statute to benefit the public …."], quoting LWDA guidance discussed in *O'Connor v. Uber Technologies, Inc.* (N.D. Cal. 2016) 201 F.Supp.3d 1110 (*O'Connor*).)

The settlement must be reasonable considering the potential verdict value. (See *O'Connor, supra,* 201 F.Supp.3d at p. 1135 [rejecting settlement of less than one percent of the potential verdict].) But a permissible settlement may be substantially discounted, given that courts often exercise their discretion to award PAGA penalties below the statutory maximum even where a claim succeeds at trial. (See *Viceral v. Mistras Group, Inc.* (N.D. Cal., Oct. 11, 2016, No. 15-cv-02198-EMC) 2016 WL 5907869, 2016 U.S. Dist. LEXIS 140759, at *20-24.)

III. DISCUSSION

A. Provisions of the Settlement

Plaintiff seeks preliminary approval of a settlement made on behalf of:

> All persons employed by Defendant in California and classified as non-exempt employees who worked for Defendant during the Class Period [April 28, 2019, through the date the court grants preliminary approval of the settlement].

(Declaration of Molly DeSario ("DeSario Decl."), Ex. 1 ("Agreement"), ¶¶ 1.5, 1.12.) The settlement also includes a subset PAGA class of Aggrieved Employees, defined as "all nonexempt employees who were employed by Defendant in California during the PAGA

Period [May 12, 2022, through the date the court grants preliminary approval of the settlement].” (*Id.* at ¶¶ 1.3, 1.31.)

Defendant will pay a gross settlement amount of $295,000. (Agreement, ¶ 1.22.) This amount includes attorney fees of up to one-third of the gross settlement amount (i.e., $98,333.33), litigation costs not to exceed $15,000, a PAGA allocation of $29,500 (75 percent of which will be paid to the LWDA and 25 percent of which will be paid to PAGA Employees as individual PAGA payments), a service payment of up to $10,000, and settlement administration estimated to be $8,450. (*Id.* at ¶¶ 1.34, 3.2.1, 3.2.2, 3.2.3.)

Individual class payments will be distributed to participating class members on a pro rata basis according to the number of workweeks they worked during the class period. (Agreement, ¶ 3.2.4.) The Agreement provides that ILYM Group, Inc. (“ILYM”) will serve as the settlement administrator. (*Id.* at ¶ 1.2.) The court approves ILYM as the settlement administrator. The Agreement further provides that any funds from settlement checks remaining uncashed after the void date (180 days after mailing) will be transmitted to Bay Area Legal Aid as the designated *cy pres* beneficiary under Code of Civil Procedure section 384. (Agreement, ¶ 4.4.3.) The court approves the *cy pres* designation.

In exchange for the settlement, class members agree to release Defendant and related persons and entities from all claims that were alleged, or reasonably could have been alleged, based on the Class Period facts stated in the action. (Agreement, ¶¶ 1.39, 1.41, 5.2, 5.3.) Aggrieved Employees will be deemed to release Defendant and related persons and entities from all claims for PAGA penalties that were alleged, or reasonably could have been alleged, based on the PAGA Period facts stated in the action and in the PAGA Notice. (*Id.* at ¶¶ 1.40, 1.41, 5.3, 5.4.) The release provisions are appropriately tailored to the factual allegations of the operative pleading. (See *Amaro v. Anaheim Arena Management, LLC* (2021) 69 Cal.App.5th 521, 538.)

B. Fairness of the Settlement

Plaintiff contends that the settlement is fair, reasonable, and adequate. (Motion, pp. 10:1-12:2.) Plaintiff’s counsel explains that, on March 11 and April 8, 2024, the parties participated in mediation with Mark LeHocky. (DeSario Decl., ¶ 7.) Settlement negotiations were adversarial and at arm's-length. (*Ibid.*) Before mediation, the parties exchanged documents and information, with Defendant providing its wages and hour policies during the class period and information regarding the total number of current and former employees. (*Id.* at ¶ 5.)

Plaintiff's counsel conducted a thorough investigation into the facts of the case, evaluated Defendant's maximum exposure. (DeSario Decl. at ¶¶ 15-25.) According to Plaintiff's exposure analysis of the claims and penalties, Defendant's total maximum potential exposure is $3,388,758. (*Ibid.*) Plaintiff contends that Defendant's realistic exposure is $622,338.17. (*Id.* at ¶ 24.) The proposed gross settlement amount of $295,000 represents 8.7 percent of Defendant's estimated total maximum exposure and 47.4 percent of Defendant's estimated realistic exposure. Therefore, the proposed settlement amount is within the general range of percentage recoveries that California courts have found to be reasonable. (See *Cavazos v. Salas Concrete, Inc.* (E.D. Cal., Feb 18, 2022, No. 1:19-cv-00062-DAD-EPG) 2022 U.S.Dist. LEXIS 30201, at *41-42 [citing cases approving settlements in the range of 5 to 35 percent of the maximum potential exposure].)

The court has reviewed Plaintiff's written submissions in support of the proposed settlement. Based on the circumstances of the case, including the strength of Plaintiffs' case and potential defenses, the court finds the terms of the settlement to be fair. The settlement provides for some recovery for each class member and eliminates the risk and expense of further litigation.

C. Service Award, Fees and Costs

Plaintiff requests a service award of $10,000. (Motion, pp. 16:5-17:21.)

> The rationale for making enhancement or incentive awards to named plaintiffs is that they should be compensated for the expense or risk they have incurred in conferring a benefit on other members of the class. An incentive award is appropriate if it is necessary to induce an individual to participate in the suit. Criteria courts may consider in determining whether to make an incentive award include: 1) the risk to the class representative in commencing suit, both financial and otherwise; 2) the notoriety and personal difficulties encountered by the class representative; 3) the amount of time and effort spent by the class representative; 4) the duration of the litigation and; 5) the personal benefit (or

> lack thereof) enjoyed by the class representative as a result of the litigation. These "incentive awards" to class representatives must not be disproportionate to the amount of time and energy expended in pursuit of the lawsuit.

(*Cellphone Termination Fee Cases* (2010) 186 Cal.App.4th 1380, 1394-1395, internal punctuation and citations omitted.) Incentive awards are particularly appropriate where a plaintiff undertakes a significant reputational risk in bringing an action against an employer. (*Covillo v. Specialty's Café* (N.D. Cal. 2014) 2014 U.S.Dist.LEXIS 29837, at *29.)

Plaintiff Sorillo has submitted a declaration describing his participation in this action. (Declaration of Russel Nera Sorillo, ¶¶ 4-9.) His participation has included gathering documents, communicating with his attorneys, reviewing case documents, and being available during mediation. (*Ibid.*) Plaintiff estimates that he has spent approximately 30 hours of his time on this case. (*Id.* at ¶ 6.)

The court finds that a service award is justified, but the amount requested is more than the court normally awards in similar circumstances. Therefore, the court approves a service award to Plaintiff in the amount of $7,500.

The court also has an independent right and responsibility to review the requested attorney fees and only award so much as it determines reasonable. (See *Garabedian v. Los Angeles Cellular Telephone Co.* (2004) 118 Cal.App.4th 123, 127-128.) Plaintiff's counsel will seek attorney fees of up to one-third of the gross settlement amount (i.e., $98,333.33). Prior to the final approval hearing, Plaintiff's counsel shall submit lodestar information (including hourly rate and hours worked) as well as evidence of actual litigation costs incurred and settlement administration costs.

D. Conditional Certification of Class

Plaintiff requests that the class be conditionally certified for purposes of the settlement. Rule 3.769(d) of the California Rules of Court states that "[t]he court may make an order approving or denying certification of a provisional settlement class after [a] preliminary settlement hearing." California Code of Civil Procedure Section 382 authorizes certification of a class "when the question is one of a common or general interest, of many persons, or when the parties are numerous, and it is impracticable to bring them all before the court . . .." As interpreted by the California Supreme Court, section 382 requires: (1) an ascertainable class; and (2) a well-defined community of interest among the class members. (Sav-On Drug Stores, Inc. v. Superior Court (2004) 34 Cal.4th 319, 326 (Sav-On).)

The “community-of-interest” requirement encompasses three factors: (1) predominant questions of law or fact; (2) class representatives with claims or defenses typical of the class; and, (3) class representatives who can adequately represent the class. (Sav-On, supra, 34 Cal.4th at p. 326.) “Other relevant considerations include the probability that each class member will come forward ultimately to prove his or her separate claim to a portion of the total recovery and whether the class approach would actually serve to deter and redress alleged wrongdoing.” (Linder v. Thrifty Oil Co. (2000) 23 Cal.4th 429, 435.) The plaintiff has the burden of establishing that class treatment will yield “substantial benefits” to both “the litigants and to the court.” (Blue Chip Stamps v. Superior Court (1976) 18 Cal.3d 381, 385.) As explained by the California Supreme Court,

> The certification question is essentially a procedural one that does not ask whether an action is legally or factually meritorious. A trial court ruling on a certification motion determines whether the issues which may be jointly tried, when compared with those requiring separate adjudication, are so numerous or substantial that the maintenance of a class action would be advantageous to the judicial process and to the litigants.
>
> (Sav-On, supra, 34 Cal.4th at p. 326, internal punctuation and citations omitted.)

Plaintiff states there are approximately 366 class members, who can be identified from a review of Defendant’s records. There are common questions regarding whether class members were subjected to common practices that violated wage and hour laws. No issue has been raised regarding the typicality or adequacy of Plaintiff as class representative. Therefore, the court finds that the proposed class should be conditionally certified for settlement purposes.

E. Class Notice

The content of a class notice is subject to court approval. “If the court has certified the action as a class action, notice of the final approval hearing must be given to the class members in the manner specified by the court.” (Cal. Rules of Court, rule 3.769(f).) “The notice must contain an explanation of the proposed settlement and procedures for class members to follow in filing written objections to it and in arranging to appear at the settlement hearing and state any objections to the proposed settlement." (*Ibid.*) In determining the manner of the notice, the court must consider: "(1) The interests of the class; (2) The type of relief requested; (3) The stake of the individual class members; (4) The cost of notifying class members; (5) The resources of the parties; (6) The possible prejudice to class members who do not receive notice; and (7) The res judicata effect on class members." (Cal. Rules of Court, rule 3.766(e).)

Here, the form of the notice is generally adequate. It describes the lawsuit, explains the settlement, and states the settlement amounts, including attorney fees and payment to the named plaintiff. However, the second page of the notice in that it suggests that recipients have only basic options under the settlement: do nothing or opt-out. This portion of the notice must be modified to clarify that recipients have a third option: to object. The notice must also be modified to instruct Class Members that they may opt-out or object to the settlement simply by providing their name without the need to provide their phone number or other personal information.

The court requests that the following language regarding the final approval hearing be added to the notice:

> Class members may appear at the final approval hearing in person or remotely using the Microsoft Teams link for Department 19 (Afternoon Session), and should review the remote appearance instructions beforehand:
>
> https://www.scscourt.org/general_info/ra_teams/video_hearings_teams.shtml
>
> Class members who wish to appear remotely are encouraged to contact class counsel at least three days before the hearing, if possible, so that potential technology or audibility issues can be avoided or minimized.

On the condition that the parties make the above changes to the notice prior to its mailing, the notice is approved.

IV. CONCLUSION

The motion for preliminary approval of the settlement is GRANTED. The final approval hearing shall take place on **September 17, 2025**, at 1:30 p.m. in Department 19. The following class shall be preliminarily certified for settlement purposes.

> All persons employed by Defendant in California and classified as non-exempt employees who worked for Defendant during the Class Period [April 28, 2019, through March 12, 2025].

Plaintiff shall prepare the order in accordance with California Rules of Court, rule 3.1312.

Calendar Line 5

Case Name: Kaga FEI Co., Ltd. v. Cypress Semiconductor Corp.
Case No.: 19CV359055

The above-entitled action comes on for hearing before the Honorable Theodore C. Zayner on March 12, 2025, at 1:30 p.m. in Department 19. The court now issues its tentative ruling as follows:

I. INTRODUCTION

This action arises from alleged breaches of a distributor agreement. Plaintiff and cross-defendant Kaga DEI Co. ("KFEI") and defendant and cross-complainant Cypress Semiconductor Corporation ("Cypress") agreed that KFEI would serve as a nonexclusive distributor of Cypress's products to Japanese companies (the "Distributor Agreement").[2]

On November 25, 2019, KFEI commenced this action by filing a complaint against Cypress, asserting causes of action for: (1) breach of contract; and (2) breach of the covenant of good faith and fair dealing. On May 23, 2022, Cypress filed a Cross-Complaint against KFEI and Cross-Defendant Fujitsu Semiconductor Limited ("FSL"), asserting causes of action for: (1) breach of written contract; (2) breach of the covenant of good faith and fair dealing; and (3) intentional interference with contract.

On March 25, 2024, KFEI filed its operative third amended complaint, asserting causes of action for: (1) breach of Distributor Agreement; (2) breach of the covenant of good faith and fair dealing; (3) fraudulent inducement/intentional misrepresentation; (4) false promise; (5) intentional interference with contractual relations; (6) intentional interference with prospective economic relations; (7) implied contractual indemnity/equitable indemnity.

On October 8, 2024, the court issued an order on the parties' stipulation, scheduling a jury trial to begin on July 28, 2025, and setting April 15, 2025, as the close of fact discovery. (See *Stipulation and Order Concerning Trial Date, Extension of Deadline to Begin Trial Under*

[2] On March 9, 2021, Plaintiff notified the court that it changed its corporate name from Fujitsu Electronics Inc. to Kaga FEI Co., Ltd.

C.C.P. 583.310, and Pre-Trial Deadlines and Procedures, signed by the court and filed on October 8, 2024, (the "Scheduling Order").)

On February 6, 2025, Cypress filed its operative fifth amended complaint, asserting causes of action for: (1) breach of Distributor Agreement; (2) fraudulent concealment; (3) civil conspiracy; (4) breach of covenant of good faith and fair dealing; and (5) declaratory judgment (express contractual indemnity).

On February 11, 2025, KFEI submitted an *ex parte* application for issuance of letters rogatory[3] for foreign discovery. Cypress submitted written opposition to the application. On February 14, 2025, the court issued an order denying KFEI's *ex parte* application, stating that KFEI failed to make the required showing under Rule of Court 3.1202(c).[4]

On February 21, 2025, KFEI filed a renewed *ex parte* application for issuance of letters rogatory for foreign discovery. Cypress again submitted written opposition to the *ex parte* application. On February 28, 2025, the court issued an order granting an order shortening time on KFEI's motion for letters rogatory, setting the matter for hearing on March 12, 2025.

Now before the court is KFEI's motion for letters rogatory. On March 4, 2025, Cypress filed timely opposition to the motion, and on March 7, 2025, KFEI filed a timely reply.

II. KFEI'S REQUEST FOR LETTERS ROGATORY

With its instant motion, KFEI asks the court to issue letters rogatory to the judicial authorities of Singapore and Japan for the purpose of compelling the depositions of two former Cypress employees (Yuya Hasegawa and Fumiaki Narimatsu) currently residing in those countries. More specifically, KFEI requests that the court "issue Letters Rogatory to:

> (1) the Supreme Court of Singapore and Competent Judicial Authorities therein to allow for the taking of sworn testimony of former Cypress Japan President Yuya Hasegawa, who resides in Singapore and is no longer affiliated with Cypress; and

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[3] A letter rogatory is "the request by a domestic court to a foreign court to take evidence from a certain witness. [Citations.]" (*Intel Corp. v. Advanced Micro Devices, Inc.* (2005) 542 U.S. 241, 247, fn. 1.)

[4] Rule of Court 3.1202(c) provides that an *ex parte* applicant "must make an affirmative factual showing in a declaration containing competent testimony based on personal knowledge of irreparable harm, immediate danger, or any other statutory basis for granting relief ex parte.

> (2) the Yokohama District Court, Tokyo District Court, and Relevant Judicial Authorities of Japan to allow for the taking of sworn testimony of former Cypress Japan Sales Director Fumiaki Narimatsu, who is no longer affiliated with Cypress, resides in Yokohama, and whose place of employment is in Tokyo, Japan."

(Notice of Motion, p. 2:1-11.) KFEI asserts that there is good cause for its requests because both witnesses have significant, first-hand knowledge relevant to KFEI's causes of action. (Mot., p. 1:3-18.) In opposition, Cypress argues that KFEI has not been diligent in seeking this discovery, that KFEI will be deposing other witnesses who supervised Mr. Narimatsu and Mr. Hasegawa, and that the requested depositions would be unduly burdensome and expensive. (Opp., pp. 1:1-2:20.)

A. Legal Standard

Code of Civil Procedure, section 2027.010 provides:

> (a) Any party may obtain discovery by taking an oral deposition, as described in Section 2025.010, in a foreign nation. Except as modified in this section, the procedures for taking oral depositions in California set forth in Chapter 9 (commencing with Section 2025.010) apply to an oral deposition taken in a foreign nation.
>
> (b) If a deponent is a party to the action or an officer, director, managing agent, or employee of a party, the service of the deposition notice is effective to compel the deponent to attend and to testify, as well as to produce any document, electronically stored information, or tangible thing for inspection, copying, testing, or sampling.
>
> (c) If a deponent is not a party to the action or an officer, director, managing agent or employee of a party, a party serving a deposition notice under this section shall use any process and procedures required and available under the laws of the foreign nation where the deposition is to be taken to compel the deponent to attend and to testify, as well as to produce any document, electronically stored information, or tangible thing for inspection, copying, testing, sampling, and any related activity.
>
> (d) A deposition taken under this section shall be conducted under the supervision of any of the following:
>
> (1) A person who is authorized to administer oaths or their equivalent by the laws of the United States or of the foreign nation, and who is not otherwise disqualified under Section 2025.320 and subdivisions (b) to (f), inclusive, of Section 2025.340.
>
> (2) A person or officer appointed by commission or under letters rogatory.
>
> (3) Any person agreed to by all the parties.

> (e) On motion of the party seeking to take an oral deposition in a foreign nation, the court in which the action is pending shall issue a commission, letters rogatory, or a letter of request, if it determines that one is necessary or convenient. The commission, letters rogatory, or letter of request may include any terms and directions that are just and appropriate. The deposition officer may be designated by name or by descriptive title in the deposition notice and in the commission. Letters rogatory or a letter of request may be addressed: "To the Appropriate Judicial Authority in [name of foreign nation]."

"Whatever the generous provisions of the California discovery statutes, courts ordering discovery abroad must conform to the channels and procedures established by the host nation. The limitation may rest on any one of several theories -- comity, curtailed discretion or implied statutory qualification." (*Volkswagenwerk Aktiengesellschaft v. Superior Court* (1973) 33 Cal.App.3d 503, 508 [discussing the issuance of letters rogatory pursuant to former Code Civ. Proc. §§ 2018, subd.(b), and 2031].)

All courts of the United States have the inherent power to issue letters rogatory. (*United States v. Staples* (9th Cir. 1958) 256 F.2d 290, 293 ["This Court, like all courts of the United States, has inherent power to issue Letters Rogatory."].) Some courts have held that "motions requesting issuance of a letter of request or a letter rogatory should generally be granted and that the opposing party must show good reason for a court to deny an application for a letter rogatory." (*Simon & Simon, PC v. Align Tech, Inc.* (N.D. Cal. Oct. 27, 2022) 2022 U.S. Dist. LEXIS 196018 at *12, 2022 WL 16557638 (*Simon & Simon*), internal punctuation and citations omitted.)

B. Discussion

By the plain language of Section 2027.010, subdivision (e), a court shall issue letters rogatory upon such a motion if it determines that doing so is "necessary or convenient." KFEI argues that the letters rogatory it requests are necessary and convenient because Mr. Hasegawa and Mr. Narimatsu have significant, first-hand information regarding the subject matter of this case. (Mot., p. 7:19-23.) KFEI asserts that the letters are necessary because Mr. Hasegawa and Mr. Narimatsu are no longer affiliated with Cypress and are not represented by its current counsel, and further, that the letters rogatory are the most convenient method for obtaining their testimony. (*Id.* at pp. 7:24-8:7.) KFEI relies upon *Simon & Simon*, among other decisions, for the proposition that courts generally apply a "liberal standard" to a motion for letters rogatory. (*Id.* at pp. 6:4-15, 8:4-20.)

In opposition, Cypress emphasizes that the requested depositions are highly unlikely to take place before the April 15, 2025, deadline for the close of fact discovery. (Opp., p. 1:10-19.) Cypress contends that KFEI is effectively asking the court for a one-sided extension of the court's Scheduling Order without making the required showing of good cause. (*Id.* at p. 1:20-22.) Cypress argues that granting KFEI's request will result in unnecessary expense and further motion practice. (*Id.* at pp. 2:21-4:4.) Cypress asserts that, even under the most generous timeline imagined by KFEI, it will take at least six weeks for the Singapore court could rule upon and enforce the request as to Mr. Hasegawa, but it will likely take several months for same process to occur for Mr. Narimatsu's deposition in Japan. (*Id.* at p. 3:5-15.)

Cypress argues that KFEI has neither asked the court for an extension of discovery nor made the requisite showing of good cause to justify such an extension. (Opp., pp. 4:5-5:2.) Cypress further contends that KFEI will have the opportunity to depose other witnesses, including those who functionally supervised Mr. Hasegawa and Mr. Narimatsu. (*Id.* at p. 5:3-16.) Cypress also argues that KFEI previously demanded an earlier trial date despite knowing for years that Mr. Hasegawa and Mr. Narimatsu no longer worked for Cypress and were based overseas. (*Id.* at p. 5:17-25.) Cypress does not dispute KFEI's assertion that Mr. Hasegawa and Mr. Narimatsu have significant, first-hand information regarding the subject matter of this case.

In this case, the court finds that it is necessary and convenient to issue the requested letters rogatory because it is undisputed that the Mr. Hasegawa and Mr. Narimatsu have significant, first-hand information regarding the subject matter of this action, and Cypress has not suggested any more convenient means of obtaining their testimony. Therefore, based on the filings with respect to the instant motion, the court will GRANT the request for letters rogatory pursuant to Code of Civil Procedure, section 2027.010, subdivision (e). However, the court emphasizes that the deadline for the close of fact discovery remains April 15, 2025, as set by the parties' stipulation and the court's Scheduling Order.

Thus, while the court finds that KFEI's motion for letters rogatory meets the pertinent standard for such a request, it further finds that KFEI has not affirmatively put a noticed motion for the extension of the deadline for fact discovery before the court, nor has it made the requisite showing of good cause in support of such a request.[5]

III. CONCLUSION

The request for letters rogatory is GRANTED, with the important caveat that the deadline for the close of fact discovery is not extended and shall not be extended absent a clear, affirmative showing of good cause under the Code of Civil Procedure for such relief.

The prevailing party shall prepare the order in accordance with California Rules of Court, rule 3.1312.

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[5] Code of Civil Procedure, section 2024.050 provides as follows, in full:

(a) On motion of any party, the court may grant leave to complete discovery proceedings, or to have a motion concerning discovery heard, closer to the initial trial date, or to reopen discovery after a new trial date has been set. This motion shall be accompanied by a meet and confer declaration under Section 2016.040.

(b) In exercising its discretion to grant or deny this motion, the court shall take into consideration any matter relevant to the leave requested, including, but not limited to, the following:

> (1) The necessity and the reasons for the discovery.
>
> (2) The diligence or lack of diligence of the party seeking the discovery or the hearing of a discovery motion, and the reasons that the discovery was not completed or that the discovery motion was not heard earlier.
>
> (3) Any likelihood that permitting the discovery or hearing the discovery motion will prevent the case from going to trial on the date set, or otherwise interfere with the trial calendar, or result in prejudice to any other party.
>
> (4) The length of time that has elapsed between any date previously set, and the date presently set, for the trial of the action.

(c) The court shall impose a monetary sanction under Chapter 7 (commencing with Section 2023.010) against any party, person, or attorney who unsuccessfully makes or opposes a motion to extend or to reopen discovery, unless it finds that the one subject to the sanction acted with substantial justification or that other circumstances make the imposition of the sanction unjust.

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